

The trend of integrated reporting practice in South Africa: ceremonial or substantive?

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Abstract

Purpose – The purpose of this paper is to examine the trend of integrated reporting (IR) practice following the introduction of an “apply or explain” IR requirement in South Africa. In particular, the authors examine whether the IR practice is ceremonial or substantive in the context of a soft regulatory environment.

Design/methodology/approach – By way of content analyses, the authors examine the extent and quality of IR practice using an IR checklist developed based on normative understanding of existing IR guidelines. The evidence is drawn from 246 integrated reports of large South African companies over a three-year period (2011–2013), following the introduction of IR requirement in South Africa.

Findings – The results show a significant increase in the extent and quality of IR practice. The findings also reveal significant improvements in individual IR categories such as **connectivity of information**, **materiality determination process** and **reliability and completeness** of the integrated reports. However, despite the increasing trend and evidence of both symbolic and substantive IR practice, the authors conclude that the **current IR practice is largely ceremonial in nature**, produced to acquire **organisational legitimacy**.

Practical implications – For academics, the authors argue that there is a need to move away from the “what” and “why” aspects of the IR agenda to “how” IR should work inside organisations. In particular, academics should engage with firms through interventionist research to help firms implement integrated thinking and substantive reporting practices. For organisations, the findings draw attention to specific aspects of IR that require improvement. For policymakers, the study provides evidence based on the developmental stage of IR practice and draws attention to certain areas that need clarification. In particular, the International Integrated Reporting Council and Integrated Reporting Committee of South Africa should provide detailed guidelines on connectivity of information, material issues and disclosure of multiple capitals and their trade-offs. Finally, for educators, in line with the ACCA’s embedment of IR in its accounting courses, there is a need to incorporate IR in the curriculum; in particular, the authors argue that the best way to advance IR is in a “ubiquitous” spread in accounting and management courses.

Originality/value – This study provides empirical account of IR practice over time in the context of a regulatory IR environment. **The construction of an IR checklist developed based on normative understanding of local and international IR guidelines is another novel approach of this study.**

Keywords South Africa, Integrated reporting, Legitimacy theory, Content analyses, Integrated thinking, Multiple capitals

Paper type Research paper



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1. Introduction

Organisational reporting practices on economic, social and environmental issues continue to attract the attention of academic researchers (Guthrie and Parker, 1989; Gray *et al.*, 1995; Deegan *et al.*, 2000; Williams and Adams, 2013; Vourvachis *et al.*, 2016). Relevance and importance of this line of research is increasingly significant, given the growing number of regional as well as global financial crises, corporate and bank failures, climate change concerns, social and environmental disasters among other high-profile incidents. Recurring major airline disasters, and in particular the recent Volkswagen diesel emissions scandal, stress the need for, and significance of, effective organisational transparency and accountability measures. In particular, there is a growing demand for information beyond traditional financial statements, information not just on social and environmental performance but also on how companies use, create and destroy ecological value (Coulson *et al.*, 2015; Barter, 2015). Although, in recent years, companies have started to provide extensive amount of financial and non-financial disclosures using various organisational reporting platforms (de Villiers *et al.*, 2014), the increasing amount of corporate disclosures, particularly in sustainability reports, is “necessary but insufficient” for substantive organisational accountability (Milne and Gray, 2013; Brown and Dillard, 2014).

Indeed, social and environmental reporting “has become synonymous with corporate sustainability; in the process, concern for ecology has become sidelined” (Milne and Gray, 2013, p. 13). In their study, Williams and Adams (2013) conclude that disclosures are “influenced by considerations other than transparency and accountability towards employees”. These considerations include, *inter alia*, maintaining organisational legitimacy through symbolic actions (Deegan *et al.*, 2000; Vourvachis *et al.*, 2016). In essence, academic studies maintain that organisational reports are continuously used as legitimisation tools and have become ceremonial in nature, rather than accountability mechanisms, peppered with selective impression management techniques that display organisational performance the most favourable way (Brennan *et al.*, 2009; Williams and Adams, 2013; Vourvachis *et al.*, 2016). On their part, companies are unhappy about the resulting preparation as well as proprietary costs associated with increasing number of disclosure requirements. In short, companies as well as stakeholder groups are dissatisfied with current organisational reporting practice. Therefore, there is a need to find a win-win solution which, on the one hand, meets substantive organisational accountability measures, and on the other hand, is cost-effective to organisations.

Integrated reporting (IR), which arguably avoids many of the problems associated with the traditional organisational reporting norms, is proposed as an alternative (King, 2009; de Villiers *et al.*, 2014; Adams, 2015a). Instituted by the International Integrated Reporting Council (IIRC), an integrated report is defined as follows:

[...] a concise communication about how an organisation’s strategy, governance, performance and prospects, in the context of its external environment, lead to the creation of value over the short, medium and long term (IIRC, 2013a, p. 7).

Similarly, the Integrated Reporting Committee (IRC) of South Africa states that an integrated report aims to “enable stakeholders to assess the ability of an organisation to create and sustain value over the short-, medium- and long-term” (IRC, 2011, p. 3). Although King III and the IIRC proposals, the major drivers of the IR agenda, emanate from two different perspectives, their common ground is to encourage companies to go

beyond financial reporting and provide “a holistic and integrated representation of the company’s performance in terms of both its finance and its sustainability” (King, 2009, p. 54). In particular, both entities require companies to integrate material financial and non-financial information in the context of wider organisational value creation through the lens of multiple capitals (King, 2009; IIRC, 2013a). The ultimate aim of the IR agenda is to enhance organisational “accountability and stewardship for the broad base of capitals [...] and promote understanding of their interdependencies” (IIRC, 2013a, p. 2).

However, a number of academic scholars are critical about the scope and substance of the IR agenda, in particular, the emphasis on “value to investors” and the continued advocacy of business case approach in the IIRC proposals (Milne and Gray, 2013; Brown and Dillard, 2014). Early empirical findings indicate that IR practice, albeit still at an early stage, suffers many of the previous organisational reporting problems (Solomon and Maroun, 2012; Wild and van Staden, 2013; Setia *et al.*, 2015; IRC, 2015). For instance, although the empirical studies find a significant increase in the amount of non-financial disclosures following the adoption of IR practice (Solomon and Maroun, 2012; Setia *et al.*, 2015), they observe that the integrated reports are imbued with rhetorical disclosures and are biased towards reporting only positive outcomes (Solomon and Maroun, 2012; IRC, 2015). In addition, the empirical studies reveal that companies continue to follow the traditional silo reporting and provide limited disclosures on organisational value-creation/destruction process in the context of multiple capitals (Wild and van Staden, 2013; IRC, 2015). The studies, however, have largely examined a single-year data and, therefore, provide snapshot evidence based on the developmental stage of IR practice.

Mindful of the current state of IR literature and the rising concerns in terms of its scope and substance (Brown and Dillard, 2014; Flower, 2015), the objective of this study is to examine the trend of IR practice over a three-year period (2011-2013), following the introduction of an “apply or explain” IR requirement in South Africa. In particular, we examine whether the IR practice is ceremonial or substantive in nature in the context of regulatory environment. In doing so, we engage with the content of integrated reports to examine the extent and quality of IR practice using a checklist developed based on normative understanding of existing IR guidelines (King, 2009; IRC, 2011; IIRC, 2013a). Our longitudinal analyses based on 246 integrated reports of large South African companies show a significant increase in the extent and quality of IR practice in South Africa over time, with companies increasingly incorporating some of the issues prescribed in existing IR guidelines. We find that, on the one hand, there is a limited application of key IR guidelines such as “connectivity” of information, issues of “materiality” and multiple capitals, and when applied, tend to be highly generic and ambiguous. On the other hand, the three-year analyses show that IR is taking shape, with companies developing understanding and competency in key aspects of IR guidelines. We conclude that while there is evidence of both symbolic and substantive IR practice, the current IR practice is largely ceremonial in nature aimed to acquire organisational legitimacy.

This study provides a number of contributions to existing organisational reporting literature. First, using an IR checklist developed based on normative understanding of IR guidelines (King, 2009; IRC, 2011; IIRC, 2013a), we examine the extent and quality of IR practice. The limited number of empirical studies have so far examined changes in the level of corporate disclosures following the adoption of IR practice (Solomon and

Maroun, 2012; Setia *et al.*, 2015), rather than the application of existing IR guidelines (Ernst & Young, 2014; IRC, 2015). By examining the application of IR guidelines, we inform policymakers and other stakeholders how the introduction of IR requirement has shaped organisational reporting practice. Second, the extant IR literature has so far provided a snapshot evidence of IR practice at one particular stage (Wild and van Staden, 2013; Adams, 2014; Setia *et al.*, 2015). Therefore, little is still known about the trend of IR practice. A significant contribution of this study is that it examines the trend of IR practice over time and highlights its evolution in the context of regulatory environment. Third, the paper, consistent with recent IR studies (Solomon and Maroun, 2012; Setia *et al.*, 2015), draws from legitimacy theory to examine the nature of IR practice. Unlike prior studies, we contrast symbolic versus substantive legitimacy-seeking behaviours to explain IR practice. In particular, the study attributes the ceremonial nature of IR practice to the framing of existing IR regulations in South Africa, as symbolic conformity with IR guidelines is enough to acquire organisational legitimacy. Therefore, the theoretical interpretations inform relevant authorities to consider succinct IR measures.

The study from here on proceeds as follows. The ensuing section discusses IR developments in South Africa to put the study in perspective. This is followed by review in existing IR literature and discussion of research theory. We then discuss research methods and sampling process. The penultimate section presents research findings before concluding with a discussion of the study's theoretical and policy implications.

2. Governance and integrated reporting developments in South Africa

Integrated thinking and reporting developments, which are embedded in King Code of Governance Principles for South Africa of 2009 (King, 2009), is part of ongoing corporate governance reforms in South Africa. The corporate governance reforms are in line with national socioeconomic development goals (West, 2006; Andreasson, 2011; de Villiers *et al.*, 2014). These developments originate from two main national objectives. First, the South African Government and businesses continue to appeal to international investors to increase inflow of foreign direct investments to the country. The introduction of IR requirement, as part of the wider national corporate governance reforms, is expected to significantly enhance South Africa's reputation and competitiveness in the global financial markets (Atkins *et al.*, 2015).

Second, given the country's quest to reduce corruption as well as social and economic inequalities which continue post-apartheid era, IR is deemed an ideal governance mechanism to track organisational performance, particularly their performance against Broad-Based Black Economic Empowerment (BBBEE). The BBBEE, an affirmative action, was introduced by the South African Government to enhance the lives of historically disadvantaged South Africans through skills development, employment in key management positions, business ownership and socioeconomic development, among other aspects. To initiate the process of IR following its inclusion in King III corporate governance principles, the IRC was formed under the leadership of Professor Mervyn King (now also the chairman of IIRC; IRC, 2011, 2015). The IRC's discussion paper entitled "Framework for Integrated Reporting and the Integrated Report" was published in January 2011 as an IR guidepost for South African companies.

More recently, and in line with these developments, the Companies Act has mandated the establishment of a Social and Ethics board committee within 12 months from 1 May

2011. The role of the Social and Ethics committee is to oversee sustainability and good corporate citizenship practices of South African companies. In the context of integrated thinking and reporting, the role of the new committee includes, among other things, to induce integrated thinking and monitor non-financial performance metrics of companies. The following extract from one of the sample companies' integrated report illustrates the role of the Social and Ethics committee:

The role of the [Social and Ethics] committee is to assist the group with overseeing sustainability matters and is responsible for monitoring the group's activities with regard to social and economic development, good corporate citizenship, environment, health and public safety, consumer relationships and labour and employment practices, as prescribed by the Companies Act (Integrated Report, 2011, Company A).

In summary, the ongoing corporate governance reforms, and the embedded integrated thinking and reporting, in South Africa explicitly advocate for an "inclusive" approach which takes into consideration the interests of wider stakeholder groups and, therefore, "reflect competing economic and social interests" (West, 2006, p. 433). South Africa, therefore, provides a unique setting to examine how the advocacy of "inclusive" stakeholder approach has influenced organisational reporting practice. In this study, we focus on how the introduction of IR requirement has shaped organisational reporting practice.

3. Integrated reporting literature

The extant IR literature, described as "embryonic" (de Villiers *et al.*, 2014), has so far taken two paths. One research stream is conceptual in nature, with little or no concrete empirical evidence on the status of IR practice (Eccles and Armbruster, 2011; de Villiers *et al.*, 2014; Brown and Dillard, 2014; Haller and van Staden, 2014; Simnett and Huggins, 2015; Adams, 2015a). The second line of research is of empirical nature, both from academic researchers as well as surveys from professional accounting bodies (ACCA, 2011; PwC, 2013; van Zyl, 2013; Wild and van Staden, 2013; Higgins *et al.*, 2014; Stubbs and Higgins, 2014; Stent and Dowler, 2015; Setia *et al.*, 2015). We discuss the conceptual and empirical studies in the following subsections.

3.1 Conceptual studies

The main aim of the conceptual studies is to synthesise prior developments in organisational reporting practices in the context of the IR agenda while at the same time offering ways that can broaden and open up current attempts towards IR practice (Brown and Dillard, 2014; Haller and van Staden, 2014; Adams, 2015a). Another objective of the conceptual studies is to map IR research and create a conceptual foundation for the growing number of academic studies (de Villiers *et al.*, 2014; Haller and van Staden, 2014; Adams, 2015b; Coulson *et al.*, 2015).

There is, however, a division in academic scholarship on the fundamental premises of IR proposals (Milne and Gray, 2013; Brown and Dillard, 2014; Flower, 2015; Adams, 2015a; Coulson *et al.*, 2015). While a number of academic scholars welcome the IR agenda (Eccles and Armbruster, 2011; Adams, 2015a; Coulson *et al.*, 2015), others are sceptical about its scope and substance (Milne and Gray, 2013; Brown and Dillard, 2014; van Bommel, 2014; Flower, 2015; Barter, 2015). Yet others see room for improvement and propose specific IR tools that incorporate the central ideas of existing IR guidelines (Haller and van Staden, 2014). The advocates view IR as a "paradigm shift" in

organisational reporting practice (Adams, 2015a). In particular, the IR agenda is seen as “a shift from a ‘financial capital market system’ to an ‘inclusive capital market system’ through recognition of multiple capitals and integrated reporting and thinking” (Coulson *et al.*, 2015, p. 290), with a potential to benefit both organisations and users of information in a number of ways (Eccles and Armbrester, 2011; Adams, 2015a).

From users’ perspective, the IR proposals promise concise and connected information, in non-technical language, about how an organisation creates and destroys ecological value through the lens of multiple capitals, such as financial, manufactured, intellectual, human, social and relationship, and natural capital (King III, 2009; IIRC, 2013a; Coulson *et al.*, 2015). For instance, IR guidelines go beyond disclosures of broad base of multiple capitals and require the inclusion of disclosures pertaining to trade-offs between them (IIRC, 2013a). Consequently, IR arguably overcomes existing reporting problems such as lengthy, technical and silo reporting (IIRC, 2013a). For organisations, Eccles and Armbrester (2011) submit three benefits of IR, namely, internal benefits – its ability to induce better understanding of a firm’s material financial and non-financial metrics; external benefits – its ability to provide comprehensive information on non-financial metrics valued by capital markets; and finally, its ability to manage regulatory risks. From an organisational perspective, the major benefit of IR is the embedded “integrated thinking” (King III, 2009). Integrated thinking, which precedes IR, assists companies to identify and report material issues, both positive and negative, in the context of wider organisational value creation (IIRC, 2013a).

However, concerns abound as to the scope and substance of IR proposals (Milne and Gray, 2013; Brown and Dillard, 2014; van Bommel, 2014; Flower, 2015). We identify two main concerns directed towards existing IR frameworks. First, researchers maintain that the stated aim of IR proposals is narrow given its “investor focus” and the markdown of less powerful indigenous stakeholders groups (Milne and Gray, 2013; Brown and Dillard, 2014). In particular, given the stated “primary purpose of an integrated report is to explain to providers of financial capital how an organisation creates value over time” (IIRC, 2013a, p. 4), a number of academic scholars maintain that the proposals are in line with the aims of traditional financial reporting and unless its scope is broadened to an ecological frame, any hopes to enhance the substance of organisational reporting would likely fail (Milne and Gray, 2013; Brown and Dillard, 2014). A second concern relates to its actual implementation, knowing that there is no regulatory enforcement (van Bommel, 2014; Flower, 2015). South Africa notwithstanding, the IR agenda is still a voluntary practice internationally. For instance, given integrated reports potentially address domains of “industrial, market, civic and green order of worth” with contrasting interests, there is a need for reconciliation among the divergent groups (van Bommel, 2014). Unless there is a regulatory oversight which reconciles the interests of these divergent stakeholder groups, the IR agenda is likely to follow prior organisational reporting rhetoric.

Mindful of the division in academic scholarship on the IR agenda and the limited number of empirical studies, this study intends to examine the trend of IR practice in South Africa. In particular, we examine whether IR practice is ceremonial or substantive in nature. The longitudinal empirical analysis asserted in this study is intended to highlight the progress of IR over time, particularly in the context of ongoing corporate governance reforms and regulatory oversight.

3.2 Empirical studies

A growing number of empirical studies continue to examine IR practice (Solomon and Maroun, 2012; Wild and van Staden, 2013; Ernst & Young, 2013; Stent and Dowler, 2015; Setia *et al.*, 2015). By way of content analyses of both conventional as well as integrated reports, the majority of the existing empirical studies explore IR practice of early adopting companies (Wild and van Staden, 2013; Stent and Dowler, 2015; Setia *et al.*, 2015). A growing number of empirical studies also establish some form of engagement through interviews and surveys with early integrated reporters (Higgins *et al.*, 2014; Stubbs and Higgins, 2014; Steyn, 2014).

The research findings, at this early stage, indicate that, although there is an increase in both the application of IR guidelines (Ernst & Young, 2014) as well as the amount of corporate disclosures following the adoption of IR practice (Solomon and Maroun, 2012; Setia *et al.*, 2015), companies fail to address key aspects of existing IR guidelines as detailed in existing IR frameworks (Wild and van Staden, 2013; IRC, 2015). In particular, connectivity of information, materiality determination process and reliability and completeness of the integrated reports are among a number of aspects that have been identified as poor (PwC, 2013; Wild and van Staden, 2013; IRC, 2015). In addition, disclosures of multiple capitals, particularly the interdependencies and trade-offs between the capitals, or components of a capital, are generic rather than company-specific (IRC, 2015). The studies further reveal that the integrated reports are biased towards positive disclosures as companies continue to employ multiple impression management techniques using rhetorical language to exaggerate positive outcomes whilst ignoring negative outcomes (Solomon and Maroun, 2012; IRC, 2015). In essence, the adoption of IR practice has not really improved organisational reporting practice (Stubbs and Higgins, 2014).

For instance, Wild and van Staden (2013) examined IR practices of 58 worldwide companies included in the pilot program of IIRC for the year 2011. The authors report that the integrated reports are lengthy rather than concise, with companies providing general and soft disclosures as opposed to specific and hard disclosures. In addition, majority of the companies have disclosed only four of the capitals (i.e. financial, human, natural and social capitals). A recent study conducted by the IRC of South Africa (2015) concurs with these observations in the South African context. In particular, the study found that there is limited application of IR guidelines, as the integrated reports are biased towards positive disclosures. In terms of the multiple capitals, the study finds that companies focus on financial capital and ignore other capitals even when they are significant to organisational activities.

In addition, a number of studies have examined the level of corporate disclosures before and after the introduction of IR practice. Solomon and Maroun (2012), who examined the social, environmental and ethical disclosures of ten major South African companies before (2009) and after (2011) the regulatory changes, documented a significant increase in the quantity of social disclosures following the introduction of IR requirement. Despite the increase in social disclosures, the authors conclude that the “reports construct a discourse imbued with stakeholder accountability rhetoric” (Solomon and Maroun, 2012, p. 51). More recently, Setia *et al.* (2015) examined changes in disclosure behaviour of top 25 South African companies before (2009/2010) and after (2011/2012) the regulatory changes, with a focus on four capitals (i.e. human, social and relational, natural and intellectual capital). The findings show an overall increase in the

disclosures on the four capitals. Consistent with previous South African studies (e.g. Solomon and Maroun, 2012; Steyn, 2014), Setia *et al.* attribute the increase in disclosures as a corporate legitimisation strategy.

Case study and survey research find that firms attach their own context-specific meaning to IR (Stubbs *et al.*, 2014; Steyn, 2014; Higgins *et al.*, 2014; Stubbs and Higgins, 2014), rather than its intended purpose (King, 2009; IIRC, 2013a). For instance, Stubbs *et al.* (2014), through interviews with Australian investors, reveal that there is a significant gap between the information supplied by companies and information required by investors. The authors conclude that, although IR has the potential to improve business reporting, it is not yet happening. In extension to this study, Higgins *et al.* (2014) reveal, through interviews of early adopting Australian firms, that managers conceptualise IR as a “strategic story-telling” and “about meeting expectation”. Similarly, Steyn (2014) surveyed the perceptions of senior executives of South African listed companies on the perceived challenges and benefits of IR implementation. Steyn finds that the perceived primary benefit, and hence motive, of IR is enhancement of corporate reputation and legitimacy. In sum, the engagement studies conclude that the adoption of IR practice is motivated by considerations other than organisational accountability such as enhancement of corporate reputation and legitimacy (Steyn, 2014; Higgins *et al.*, 2014).

Our study is distinctly different from prior studies in several ways. First, existing studies have provided snapshot evidence based on yearly analyses of IR practice (Wild and van Staden, 2013; Ernst & Young, 2014), with majority of the studies drawing evidence from conventional annual reports rather than integrated reports (ACCA, 2011; Stent and Dowler, 2015). In departure from previous studies, we provide longitudinal analyses of integrated reports to track the development of IR practice over time. Second, unlike the extant IR studies which have largely examined aspects of corporate disclosures following the adoption of IR practice (Solomon and Maroun, 2012; Setia *et al.*, 2015), we examine the extent and quality of IR practice. In doing so, we construct an IR checklist developed based on normative understanding of local and international IR guidelines to examine the level of application of IR guidelines. Third, the limited empirical evidence on IR practice is largely drawn from voluntary reporting settings (Wild and van Staden, 2013; ACCA, 2011; Robertson and Samy, 2015; Stent and Dowler, 2015). The South African environment offers a different regulatory reporting environment, given the country’s initiative to mandate IR. Therefore, there is regulatory pressure on South African firms to produce integrated reports. For these reasons, this study offers useful insights on the ongoing attempts to map IR practice.

4. Theoretical perspectives

Socio-political theories such as stakeholder, legitimacy and political economy perspectives have been used in isolation or in combination to understand and explain organisational reporting practices (Gray *et al.*, 1995; Deegan *et al.*, 2000; Ahmed Haji and Mohd Ghazali, 2012; Williams and Adams, 2013; Vourvachis *et al.*, 2016). These theoretical resources draw from different perspectives but “all assume a pluralist society, a society in which autonomous but interdependent groups either share power or continuously compete for power” (Williams and Adams, 2013, p. 454). Differences in disclosure practices are explained by corporate tendency to please the many autonomous stakeholder groups (Deegan *et al.*, 2000; de Villiers and van Staden, 2006;

Ahmed Haji, 2013; Setia *et al.*, 2015). By conforming to social expectations, companies avoid “legitimacy gap” which arises when organisational actions and practices are not congruent with the expectations of “relevant publics” (Lindblom, 2004). We draw from legitimacy theory to explain the nature of IR practice.

Legitimacy theory propounds that organisations strive to operate or appear to operate within socially constructed system of norms and values to maintain organisational legitimacy (Suchman, 1995) because regaining or repairing organisational legitimacy is a very costly endeavour (O'Donovan, 2002). While research shows that legitimacy theory may not always be applicable to explain organisational reporting practices (Guthrie and Parker, 1989), it is particularly useful to explain organisational reactions to changes in the business environment (Deegan *et al.*, 2000; Vourvachis *et al.*, 2016). In the course of corporate legitimisation strategies, organisations undertake symbolic or substantive actions, and in some cases, combination of both, to respond to changes in the business environment (Oliver, 1991; Hybels, 1995; Berrone *et al.*, 2009; Soobaroyen and Ntim, 2013; Vourvachis *et al.*, 2016). There are three levels of legitimacy-seeking behaviour of organisations (Suchman, 1995; Berrone *et al.*, 2009).

The first level of legitimacy-seeking behaviour is to involve symbolic actions. In this case, companies follow the “form” rather than the “substance” of the social contract using rhetorical language. The management strives to please the constituents controlling the resources through multiple impression management strategies to maintain legitimacy (Deegan *et al.*, 2000; Brennan *et al.*, 2009). However, symbolic actions have no material form and may only have a short-term impact on organisational legitimacy (Hybels, 1995; Berrone *et al.*, 2009). It is also extremely difficult to maintain/gain organisational legitimacy through only symbolic practices (Oliver, 1991; Berrone *et al.*, 2009). The second level of legitimacy-seeking behaviour is to combine symbolic and substantive practices (Berrone *et al.*, 2009). The substantive element of this form of legitimacy-seeking behaviour is that organisations acknowledge the issue and affirm the need to resolve, often registering their (rhetorical) commitment in addressing the social construct. The ensuing activities and response by the company might, for example, be ceremonial in nature designed to acquire/maintain legitimacy. The third level, and highest form of legitimacy-seeking endeavour, is to undertake significant changes and specific organisational actions in direct alignment (response) to social or regulatory changes. Companies often undertake substantive changes in response to real or pressing legitimacy threats. Berrone *et al.* (2009, p. 2) conclude that:

- [...] (1) Symbolic actions have a weaker positive effect on legitimacy than substantive actions, (2) that the impact of symbolic actions is greater when they are combined with substantive actions, (3) that this impact is only short-term while substantive actions have both short – and long-term effects.

However, given the soft regulatory oversight of an “apply or explain” IR requirement in South Africa, the introduction of IR practice may not actually threaten the overall legitimacy of companies. The framing of regulatory requirement may, as a result, limit the extent and quality of IR practice. For instance, companies may only undertake incremental changes, rather than substantively embedding integrated thinking and reporting in organisational process, in response to IR requirement. Therefore, the nature of IR practice might be explained by certain aspects of legitimacy theory such as symbolic legitimacy rather than legitimacy theory as a whole.

In this study, we examine the extent of symbolic/ceremonial, combined symbolic-substantive and substantive IR practice following the introduction of an “apply or explain” IR requirement in South Africa. In doing so, we engage with the content of integrated reports to assess the level of application of IR guidelines in the context of IR practice. We build on recent studies in South Africa and elsewhere that have adopted legitimacy theory to explain the nature of IR practice (Solomon and Maroun, 2012; Wild and van Staden, 2013; Setia *et al.*, 2015). For example, Setia *et al.* (2015, p. 397) conclude that South African companies are adopting “a legitimization strategy based on symbolic management when preparing integrated reports”. Similarly, survey studies and case study research have also concluded that the main motivation of adopting IR is to maintain organisational legitimacy (Higgins *et al.*, 2014; Steyn, 2014). In departure from previous studies, which have only provided snapshot evidence at a certain point in time, this study examines IR practice over time. The semi-regulatory reporting environment in South Africa provides an interesting setting to understand the extent of corporate legitimization strategies following the adoption of IR practice, considering the ongoing corporate governance reforms and the advocacy of an “inclusive” stakeholder approach in South Africa.

5. Research method

5.1 Sampling process

The sampling process of this study began with identifying the largest 100 companies listed on Johannesburg Stock Exchange, by market capitalisation, for the years 2011-2013. South African listed companies with financial year-ending on or after 1 March 2010 are required to produce an annual integrated report, or else explain why they have not done so. Therefore, we chose the years 2011-2013 as the time frame of the study because all listed companies were most likely to start publishing integrated reports in 2011 (Ernst & Young, 2013). For consistency and comparability purposes, the target was to select the same companies with integrated reports throughout the three-year period. Owing to the amount of missing data, the final sample of this study consists of 82 companies, producing total firm-year observations of 246 cases (82×3 years = 246). The integrated reports of the selected companies were retrieved from the individual websites of the sample companies.

Our focus on large companies is justified in the extant organisational reporting literature in several ways (Guthrie and Petty, 2000; de Villiers and van Staden, 2006). For example, large companies are more resourceful and can bear the implementation costs of emerging and innovative reporting (Guthrie and Petty, 2000). In addition, given their visibility, larger companies tend to address and respond regulatory changes quickly to avoid any unfavourable media or regulatory attention. Given the IR regulatory oversight in South Africa, larger companies are more likely to adopt IR practice because of their visibility and pursuit of legitimacy.

The information source of this study is from annual integrated reports. While companies can provide integrated information through a number of corporate communication channels including websites, standalone sustainability reports, press releases as well as other reports (IIRC, 2013a), the annual integrated reports are regularly produced. Therefore, they are useful for longitudinal studies which intend to track specific developments in corporate reporting practices. In addition, the annual integrated reports are considered as the primary reporting vehicle for listed companies

in South Africa (IRC, 2011). Hence, they are expected to provide a detailed account of material financial and non-financial information in the context of organisational value creation.

5.2 Integrated reporting frameworks

While the introduction of IR requirement in South Africa is largely motivated by specific national objectives, as stated earlier, the nature and fundamental premises of King III, as detailed in the IRC (2011) of South Africa, and the IIRC proposals are fundamentally the same. The similarities between King and IIRC IR proposals are evident in how the two entities conceptualise the IR agenda. For instance, King III (2009, p. 54) states that IR “means a holistic and integrated representation of the company’s performance in terms of both its finance and its sustainability” aimed to “enable stakeholders to assess the ability of an organisation to create and sustain value over the short-, medium- and long-term”. Similarly, the IIRC (2013a, p. 33) defines IR as “a process founded on integrated thinking that results in a periodic integrated report by an organisation about value creation over time and related communications regarding aspects of value creation”. The aim of IR, according to the IIRC (2013a, p. 2) framework, is to:

[...] promote a more cohesive and efficient approach to corporate reporting that draws on different reporting strands and communicates the full range of factors that materially affect the ability of an organisation to create value over time.

Both frameworks maintain that value creation is not limited to the traditional measures of financial performance and encourage organisations to discuss wider value creation through the lens of multiple capitals (IRC, 2015; Coulson *et al.*, 2015). Given the fundamental similarities between the two IR frameworks, the IRC (2015) of South Africa has recently endorsed the IIRC (2013a) framework as guidance on good IR practice for South African companies as shown below:

The *International <IR> Framework* (Framework) was issued by the International Integrated Reporting Council (IIRC) in December 2013. It has been endorsed by the Integrated Reporting Committee (IRC) of South Africa as guidance on good practice on how to prepare an integrated report (IRC, 2015, p. 2).

However, one key difference between the IIRC and IRC frameworks, as identified by Steyn (2014), is the report audience. The stated primary stakeholder of the IIRC framework is the “providers of financial capital”. In contrast, the IRC of South Africa takes an inclusive approach and states that the:

[...] report provides a holistic view of the organisation and is useful to any stakeholder who has a longer term interest in the organisation enabling them to make an informed assessment of its ability to create and sustain value (IRC, 2011, p. 4).

In addition, unlike the IIRC (2013a) framework which gives organisations the flexibility to produce integrated information in standalone reports or as part of other reports (e.g. annual reports), the IRC (2011) of South Africa states that the integrated report is the primary report of an organisation, which is in line with the “apply or explain” IR requirement (Steyn, 2014).

Technically, however, there are several minor differences between the two IR guidelines which are largely because of basic institutional differences and different developmental stages of the IR agenda. As an international IR council, the IIRC provides

a detailed blueprint of what (i.e. eight content elements), how (seven guiding principles) and why companies should adopt IR practice. While the discussion paper of IRC (2011) of South Africa has similarly eight content elements, it provides limited number of (five) guiding principles. Guiding principles such as connectivity of information and conciseness of the integrated reports, which are main guiding principles in the IIRC framework, are reduced to general recommendations in the IRC of South Africa's discussion paper (Table I). In addition, the IIRC framework encourages companies to communicate organisational value creation through the lens of six capitals (i.e. financial, manufactured, intellectual, human, social and relationship, and natural capital), as opposed to only four (financial, social, economic and environmental) in the IRC discussion paper. However, as noted earlier, the IRC (2015) of South Africa has endorsed the IIRC framework, and hence, the two reporting frameworks are complementary rather than conflicting. As a result, the present study examines IR practice using an IR checklist developed based on normative understanding of local and international IR guidelines (IRC, 2011; IIRC, 2013a). The ensuing section discusses further the development of the IR checklist.

5.3 Content analyses procedures

Content analysis is a highly used research methodology in organisational reporting literature and is regarded as a genuine research approach (Krippendorff, 1980; Milne and Adler, 1999). Use of content analyses is largely "motivated by the search for techniques to infer from symbolic data what would be either too costly, no longer possible, or too obtrusive by the use of other techniques" (Krippendorff, 1980, p. 51). The process, which involves making inferences from data to discover meaning of messages, is particularly useful to examine trends and patterns in documents (Stemler, 2001). Given the degree of subjectivity involved in the content analysis process, researchers are cautioned to carefully address two distinct issues, namely, validity of the research instrument and reliability of the coding process to ensure consistency and replication of the research findings (Krippendorff, 1980; Milne and Adler, 1999; Unerman, 2000). We have taken several measures, as discussed in the ensuing sections, to address the validity and reliability of the research data.

5.3.1 Validity: integrated reporting checklist. A critical stage of the content analyses process is the identification and development of categories into which content units can be classified to derive patterns in the presentation and reporting of information (Krippendorff, 1980; Milne and Adler, 1999). The key is to ensure that the research instrument measures what it intends to measure (Krippendorff, 1980). To address this essential stage, the current study constructed an IR checklist developed based on normative understanding of local and international IR guidelines. In constructing the checklist, a number of sources were considered. First, reference was made to existing versions of the IIRC frameworks (IIRC, 2011, 2013a, 2013b, 2013c). The guiding principles of IIRC framework was used as a starting point.

Second, we have examined the guiding principles and content elements in the discussion paper of IRC (2011) of South Africa (see Table I). In addition, we have considered King III (King Code of Governance for South Africa, 2009) reporting recommendations to ensure the relevance and applicability of the checklist items to the South African business environment. We have included elements recommended by the IRC (2011) and King III in our checklist that the IIRC does not include in its guiding

Table I.
Guiding principles
and content elements
of IR frameworks

No.	Guiding principles		Content elements	
	IIRC (2013a)	IRC (2011) of South Africa	IIRC (2013a)	IRC (2011) of South Africa
1	Strategic focus and future orientation Connectivity of information	Relevance and materiality	Organisational overview and external environment Governance	Report profile (What is the scope and boundary of the report?) Organisational overview, business model and governance structure (How do we create value and make decisions?)
2		Comparability and consistency		
3	Stakeholder relationships	Verifiability	Business model	Understanding the operating context (What are the circumstances under which we operate?)
4	Materiality	Timeliness	Risks and opportunities	Strategic objectives, competencies, key performance indicators and key risk indicators (Where do we want to go and how do we intend to get there?)
6	Conciseness Reliability and completeness	Understandability or clarity NA	Strategy and resource allocation Performance	Account of the organisation's performance (How have we fared over the reporting period?) Future performance objectives (Informed by our recent performance, what are our future objectives?)
7	Consistency, comparability and assurances NA	NA	Outlook	Remuneration policies (What is our approach towards remuneration?)
8		NA	Basis of preparation and presentation	Analytical commentary (What are the views of the leadership about the organisation?)

Source: IRC (2011) of South Africa and IIRC (2013a) frameworks

principles. For instance, King III recommends listed companies to provide extensive risk disclosures on their risk management initiatives. To examine how the integrated reports convey such risk management disclosures, our checklist contains a section on “Risk management practices”. In addition, we have included additional items recommended by King III that the IIRC framework does not specifically prescribe. Examples of these elements include the role of audit committees, in terms of oversight and assurance, in the IR process.

As shown in the complete checklist (Appendix), the guiding principles were decoded and classified into specific items under each main guiding principle that can potentially appear in the integrated reports. For instance, under the heading “Strategic focus and future orientation”, one of the items is “connecting strategy to the wider value creation”. Similarly, under the second heading “Connectivity of information”, there is “the interdependencies and trade-offs between the capitals”. For selection of each item, their *objectivity* in terms of identification and *relevance* to the South African context were considered.

Finally, we have examined the integrated reports of companies that have been rated as “Excellent” and “Good” by Ernst & Young[1] Excellence in IR awards (Ernst & Young, 2013, 2014). The objective of this screening exercise was to familiarise ourselves the nature of IR practice and cross-check the identified items against highly regarded integrated reports to ensure general applicability of the checklist items to the South African environment. In the process, we have drawn additional innovative items from the highly regarded integrated reports for inclusion in the checklist while at the same time dropping some of the original items. This screening process is consistent with prior studies (Li *et al.*, 2008; Ahmed Haji and Mohd Ghazali, 2013). Examples of items retrieved from the highly regarded integrated reports include “disappointments, improvements made during the year, value-added statements, external assurances and steering committees”. We have considered these multiple sources to ensure the validity of the IR checklist in measuring IR practice. The final checklist, as shown in Appendix, contains eight main categories and 52 specific items under the eight categories.

5.3.2 *Reliability of the research data.* Two approaches are used to increase reliability of the research findings. One approach is to use two or more coders. The scores of different coders are then compared, with any arising discrepancies between (among) the multiple coders requiring further investigation (Milne and Adler, 1999). Alternatively using a single coder, after going through initial training, to assign the scores twice with some time interval can also enhance the reliability of the research data (Unerman, 2000).

This study has undertaken several steps to address reliability concerns. First, both researchers had familiarised themselves with a sample of highly regarded integrated reports using a preliminary checklist developed based on IR guidelines. Second, after the familiarisation exercise, both researchers independently scored the 2013 integrated reports of five companies[2] that have won the Ernst & Young Excellence in IR awards for two consecutive years (i.e. 2012 and 2013) (Ernst & Young, 2013, 2014). The finalised checklist was used in this reliability testing process. Individual scores were then compared and the differences between the two independent scores were insignificant. For instance, based on the quality of IR measure (as discussed below), the overall IR score of the five companies obtained by one researcher was 509, whereas the other researcher’s score was 493. The difference, which is 16, was subjected to further scrutiny and reconciled. Finally, after the initial exercise, to ensure consistency, one of the

researchers has completed the scoring task. During the scoring process, the two researchers would discuss any arising issues.

5.3.3 *Scoring the integrated reports* Once the research instrument (checklist) was finalised, the integrated reports were scored using both un-weighted and weighted scoring methods to arrive at the extent and quality of IR practice. The un-weighted method (dichotomous approach) assigns equal values to the checklist items regardless of “how” the items appear in the integrated reports (Guthrie and Parker, 1990; Boesso and Kumar, 2007). The dichotomous approach is regarded as more objective and largely avoids any degree of subjectivity commonly known in other content analyses approaches. Contrary to the un-weighted approach, the weighted approach goes beyond “what is said” and identifies “how it is said” (Guthrie and Parker, 1990). For instance, previous researchers justify assigning higher weights to specific and detailed, rather than general and qualitative, disclosures because there is a degree of verifiability (Al-Tuwaijri *et al.*, 2004; Boesso and Kumar, 2007). The implicit assumption is that a higher score, given the specificity and verifiability of such disclosures, would entail high reporting quality (Wiseman, 1982; Boesso and Kumar, 2007). In this study, we use both approaches to mitigate the disadvantages of each approach.

In assessing the *quality* of integrated reports, a weighted scoring approach was used (Wiseman, 1982; Al-Tuwaijri *et al.*, 2004; Boesso and Kumar, 2007). Building on prior organisational reporting literature, this study uses a detailed scoring scheme in measuring the quality of integrated reports (Wiseman, 1982; Boesso and Kumar, 2007). We have designed a scoring scheme of “0-3”, where “0” was assigned when the item in the checklist was not disclosed at all, and 1 if the companies provided general qualitative disclosures. A score of 2 was assigned for specific information, and the highest score of 3 for a detailed discussion incorporating specific organisational actions. For instance, depending on the nature of the checklist items, the highest score of 3 is awarded if the companies provided substantive information that can be verified, has already been verified by external assurance providers, is company-specific rather than generic and/or incorporates specific names of individuals/institutions. Under this approach, the quality of integrated reporting (QIR) score is computed as the ratio of actual scores (AS) to the maximum possible score (MS) (i.e. $3 \times 52 = 156$). Thus, the QIR score of a company is calculated as follows:

$$QIR = \frac{AS}{MS}$$

In measuring the extent of IR practice, a score of 1 was awarded if the checklist items appeared in the integrated reports, regardless of how it appeared, and a score of 0 otherwise. Under this approach, the extent of integrated reporting (XIR) score was computed as the ratio of actual scores (AS) to the maximum possible score (MS) (i.e. 52 items in the checklist). Thus, the XIR score of a company is calculated as follows:

$$XIR = \frac{AS}{MS}$$

5.4 Data analyses

We have conducted several statistical data analyses to examine the current state and trend of IR practice in South Africa. First, descriptive statistics were computed to show

the overall data distribution over the three-year period. The descriptive results show that the data are normally distributed, and therefore, parametric data analyses can be performed. Second, to examine the trend of IR practice over time, we have conducted “one-way repeated measures ANOVA” analyses. There are five assumptions[3] for the “one-way repeated measures ANOVA”, namely:

- (1) the dependent variable should be measured at the interval or ratio level (i.e. continuous variable);
- (2) the independent variable should consist of at least two categorical, related groups or matched pairs;
- (3) there should be no significant outliers in the differences between the two related groups;
- (4) the distribution of the dependent variable in the related groups should be normally distributed; and
- (5) sphericity assumption: the variances of the differences between all combinations of related groups must be equal.

Although the data of this study have satisfied the first four assumptions of one-way repeated measures ANOVA, the assumption of sphericity has only been met in 2 of 18 ANOVA outputs based on Mauchly’s test of sphericity. To account for the violations of the sphericity assumption, SPSS automatically prints corrected outputs in two epsilon values[4]: Greenhouse-Geisser and the Huynh-Feldt which, based on adjusted degrees of freedom, produce a more accurate (conservative) significance (p) values. The results of this study, based on the corrected and uncorrected outputs (i.e. the significance values shown in Wilk’s lambda, Greenhouse-Geisser or Huynh-Feldt), were largely the same.

Additional tests such as “paired-sample *t*-test” and alternative non-parametric analyses (e.g. Friedman test) were performed to provide further insights and ensure consistency of the research findings. The following section presents the research findings.

6. Research findings

6.1 Descriptive results

We have used two approaches to examine IR practice in South Africa, a detailed scoring scheme and a dichotomous approach. In the first approach, we examine the level of specificity and detail (*quality*), whereas in the second method, the emphasis is on the presence/absence of information pertaining to the items at hand (*extent*). The maximum possible score for the *quality* measure is 156 (i.e. 52 items $\times$ 3 = 156), whereas the maximum score for the *extent* measure is 52 (52 $\times$ 1 = 52). The eight subcategories of the IR checklist follow the same pattern.

Table II presents descriptive results for the *quality* of IR practice for the three years under investigation (2011-2013). The results show that the mean scores in the *quality* of integrated reports have increased over time, increasing from 43.57 per cent in the year 2011 to 47.32 per cent in 2012 and to 50.16 per cent in 2013. This finding is consistent with prior observations of improving IR practice in South Africa (Ernst & Young, 2013, 2014). Despite the increase in the mean scores, the findings show that the highest score in the *quality* of IR practice is 66.03 per cent in 2011, and 69.87 per cent in 2012 and 2013,

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whereas the minimum scores were 12.82 per cent in 2011, and 15.38 per cent in 2012 and 2013, indicating that **the IR guidelines are not fully embraced**.

Table II also reports results for the *extent* of IR practice. The results show a similar increasing trend, with the mean scores increasing from 64.52 per cent in 2011 to 69.75 per cent in 2012 and to 72.61 per cent in the year 2013. The results show higher scores in the *extent* of IR, compared to the *quality* scores, because the nature of IR practice is mostly generic (ceremonial) rather than company-specific (substantive), as shown in the following extract:

As an African financial services group we have a fundamental role to play in the development of the societies in which we operate. The success of our customers and stakeholders underpins our commercial sustainability and our ability to deliver returns to our stakeholders over the long term. This forms the basis for integrated thinking and integrated reporting for the group (Integrated Report, 2013a, 2013b, Company B).

In the above-mentioned extract, although the company does well in establishing links between its fundamental role and financial success to sustainable development, integrated thinking and reporting, in this context, are loosely used. **There is no further elaboration to highlight “how” integrated thinking and reporting shapes organisational value creation. Hence, the generic use of “integrated thinking and integrated reporting”, in the above-mentioned extract, is symbolic, rather than substantive, aimed to showcase conformity with existing IR guidelines.**

Table III presents further insights on IR scores in terms of distribution of the sample companies. Based on the quality of IR practice, the results show that the IR scores of the

Table II.
Descriptive statistics
on integrated reports:
2011-2013

	Quality of IR scores-scoring (0-3)			Extent of IR scores-scoring (0, 1)		
	2011	2012	2013	2011	2012	2013
Minimum (%)	12.82	15.38	15.38	19.23	23.08	23.08
Maximum (%)	66.03	69.87	69.87	92.31	96.15	98.08
Mean (%)	43.57	47.32	50.16	64.52	69.75	72.61
SD	10.99	10.8	11.03	15.04	14.62	14.41
Skewness	-0.331	-0.54	-0.573	-0.640	-0.840	-0.950
Kurtosis	0.351	0.446	0.414	0.341	0.918	1.128

Table III.
Distribution of IR
scores among
companies-using
quality scores

Quality of IR	2011		Quality of IR	2012		Quality of IR	2013	
	No. of firms	(%)		No. of firms	(%)		No. of firms	(%)
≥70	0	0	≥70	0	0	≥70	0	0
60-69.9	5	6.1	60-69.9	8	9.76	60-69.9	13	15.9
50-59.9	20	24.4	50-59.9	29	35.4	50-59.9	33	40.2
40-49.9	29	35.4	40-49.9	28	34.1	40-49.9	22	26.8
30-39.9	21	25.6	30-39.9	12	14.6	30-39.9	9	11
20-29.9	4	4.88	20-29.9	4	4.88	20-29.9	4	4.88
10-19.9	3	3.66	10-19.9	1	1.22	10-19.9	1	1.22
1-9.9	0	0.00	1-9.9	0	0.00	1-9.9	0	0.00
Total	82	100	Total	82	100	Total	82	100

sample companies were above 10 per cent but below 70 per cent throughout the three-year period. Most companies (35.4 per cent) had scores ranging from 40 to 49.90 per cent in 2011, with only 25 of the sample companies (30.5 per cent) having scores of 50 per cent or more. In 2012 and 2013, however, most companies had scores of 50 per cent to 59.90 per cent. Despite the increasing number of companies with improving IR scores, the findings show that the quality of IR practice was lower than 70 per cent throughout the three-year period.

6.2 Analyses of integrated reporting categories

Building on the IRC (2011) of South Africa and IIRC (2013a) IR guidelines, we examine IR practice using eight IR categories. This section presents the scores in each category as proportion of maximum possible scores. The results presented in Table IV show the quality of IR practice for each category. In terms of the quality scores, the “stakeholder relationships” category is ranked highest in all three years, accounting for 59.96 per cent in 2011, 63.96 per cent in 2012 and 66.40 per cent in 2013. Ranked second and third are “strategic focus” and “conciseness”, respectively. The lowest disclosed categories are “consistency, comparability and assurance” (ranked seventh), and “reliability and completeness” of IR practice (ranked eighth). These findings are consistent with recent studies in South Africa that have observed low levels of application in certain aspects of the IR guidelines such as the comparability, reliability and completeness of the integrated reports (Ernst & Young, 2014; IRC, 2015).

The results presented in Table V show the extent of IR scores by category. The results are slightly different from the quality scores described in Table IV as “conciseness” and “stakeholder relationships” take the front two positions across all the three years, respectively. The “strategic focus” is ranked third in 2011 and 2012, with “risk management practices” moving from fifth position in 2011 to fourth in 2012 and to third in 2013. However, the lowest disclosed categories are “materiality” (ranking sixth in 2011 and seventh thereafter), “connectivity of information” (ranked seventh in 2011 and sixth thereafter) and “reliability and completeness” (ranked eighth in all three years).

The findings indicate that the cornerstones of IR (e.g. materiality, connectivity of information, and reliability and completeness) are poorly incorporated in the integrated reports. This finding is in line with the recent study by the IRC (2015, p. 4) of South Africa which observed that:

[...] the inability to meet to the fullest extent the guiding principles of comparability and reliability, and completeness because of a lack of measurable data or trends, is regarded by some organisations as reason to exclude reporting on outcomes.

On the other hand, the most disclosed categories, which are “stakeholder relationships”, “strategic focus” and “risk management practices”, are imbued with soft and generic disclosures to exaggerate positive trends whilst avoiding, or dismissing, negative outcomes in organisational performance. In particular, there is an overwhelming preference to provide symbolic gestures on stakeholder relationships in an attempt to address issues of national concern such as the BBBEE (van Zyl, 2013). However, the results show some encouraging progress, in terms of ranking, on certain aspects of IR practice including the “connectivity of information”. The next section presents further insights into individual aspects of IR categories.

Table IV.
Scores of integrated
reporting by
category of
information-quality
scores (0-3)

IR categories	Year 2011			Year 2012			Year 2013					
	Maximum score	Actual score	(%)	Ranking	Maximum score	Actual score	(%)	Ranking	Maximum score	Actual score	(%)	Ranking
Strategic focus	1,968	1,032	52.44	2 nd	1,968	1,108	56.30	2 nd	1,968	1,158	58.84	2 nd
Connectivity of information	1,968	834	42.38	5 th	1,968	927	47.10	4 th	1,968	1,014	51.52	4 th
Stakeholder relationships	1,476	885	59.96	1 st	1,476	944	63.96	1 st	1,476	980	66.40	1 st
Materiality	1,722	736	42.74	4 th	1,722	788	45.76	5 th	1,722	816	47.39	5 th
Risk management practices	1,722	684	39.72	6 th	1,722	746	43.32	6 th	1,722	764	44.37	6 th
Conciseness	1,230	592	48.13	3 rd	1,230	625	50.81	3 rd	1,230	654	53.17	3 rd
Reliability and completeness	1,968	578	29.37	8 th	1,968	654	33.23	8 th	1,968	756	38.41	7 th
Consistency, comparability and assurance	738	233	31.57	7 th	738	261	35.37	7 th	738	275	37.26	8 th
Total	12,792	5,574	43.57		12,792	6,053	47.32		12,792	6,417	50.16	

Notes: ^a Actual score/maximum score (1,032/1,968 = 52.44%); for instance, maximum score of 1,968 is obtained among the eight items in “Strategic focus” category × 3 points × 82 companies

IR categories	Year 2011			Year 2012			Year 2013					
	Maximum score	Actual score	(%)	Ranking	Maximum score	Actual score	(%)	Ranking	Maximum score	Actual score	(%)	Ranking
Strategic focus	656	511	77.90	3rd	656	526	80.18	3rd	656	538	82.01	4th
Connectivity of info	656	332	50.61	7th	656	381	58.08	6th	656	421	64.18	6th
Stakeholder relationships	492	385	78.25	2nd	492	412	83.74	2nd	492	414	84.15	2nd
Materiality	574	291	50.7	6th	574	321	55.92	7th	574	329	57.32	7th
Risk management practices	574	414	72.13	5th	574	456	79.44	4th	574	477	83.10	3rd
Conciseness	410	356	86.83	1st	410	361	88.05	1st	410	370	90.24	1st
Reliability and completeness	656	284	43.29	8th	656	327	49.85	8th	656	354	53.96	8th
Consistency, completeness and assurance	246	178	72.36	4th	246	190	77.24	5th	246	193	78.46	5th
Total	4,264	2,751	64.52		4,264	2,974	69.75		4,264	3,096	72.61	
Notes: ^a Actual score/maximum score (511/656 = 77.90%); for instance, maximum score of 656 is obtained 8 items in 'Strategic Focus' category × 1 point × 82 companies												

Table V.
Scores of integrated
reporting by
category of
information-extent
scores (0, 1)

6.2 Additional analyses

The preceding discussion showed that “stakeholder relationships” and “strategic focus” are the highest disclosed categories. We discuss the IR items in these leading as well as other categories in turn. First, the items in the “stakeholder relationships” category include stakeholder engagement, communication channels to stakeholders and taking stewardship and responsibility for organisational actions. Disclosure of these items allows a company to appear “socially aware” and, as a result, maintain its legitimacy. In particular, the discussion pertaining to “stakeholder relationships” largely circles around the BBBEE initiatives, with firms disclosing their attempts to alleviate poverty and increase equal employment opportunities. In doing so, companies select positive trends and benchmarks that display organisational image the most favourable way:

This past year, we continued to make excellent progress in our transformation activities in South Africa. We achieved level 3 broad-based black economic empowerment (BBBEE) contributor status, improving from level 4. Our unwavering focus on equity ownership, enterprise and socioeconomic development, employment equity, skills development and preferential procurement are delivering exceptional results – well beyond the stretch targets we had set for ourselves (Integrated Report, 2013a, 2013b, Company C).

While the above-mentioned disclosures are substantive in terms of verifiability (i.e. improving from Level 4 to Level 3), they are nonetheless selective and represent attempts to address issues of social concern to enhance corporate reputation, with companies using the integrated report as a legitimisation tool, rather than an organisational accountability tool which balances both positive and negative trends. There also seems a form of uniformity in the positive tone of disclosure language, with companies conforming to a similar reporting pattern, a pattern which strategically targets the soft spots of relevant publics (e.g. women training, reference to historically disadvantaged groups), as shown in the following extract:

We provided significant opportunity for personal advancement in the year. Our group expenditure on training amounted to R638 million (2012: R605 million), of which R19,6 million (2012: R17,7 million) was invested in our graduate programme. Of the 184 people (2012: 181) who participated in the 2013 graduate programme, 43 per cent are women and 80 per cent of the South African complement was black (Integrated Report, 2013a, 2013b, Company D).

The second leading category, “strategic focus”, has eight items. The elements included in the “strategic focus” section, despite containing innovative reporting elements, relate to particular IR developments (e.g. basis of IR preparation) and so discussions pertaining such items are expected. For instance, a significant number of companies (71.95 per cent in 2011, 68.29 per cent in 2012 and 69.51 per cent in 2013) have reported their “Commitment to continuous integrated thinking and reporting” following the introduction of IR requirement. The chairman of one of the sample companies welcomed the introduction of IR practice in South Africa, as shown in the following extract:

An important governance development this year has been the requirement, in terms of the King Code of Governance Principles for South Africa (King III Code), to publish an integrated annual report. This forms part of a broader global governance trend that seeks to promote more effective disclosure of the information needed by stakeholders to assess the true economic value of organisations. I welcome this trend, in the belief that it will prompt an

improved appreciation within business of the strategic significance of societal issues, as well as encouraging business to play an active role in addressing the social, economic and environmental challenges that we face (Integrated Report, 2011, Company E).

In line with legitimacy theory's continuum of symbolic, combined symbolic-substantive and substantive actions, the chairman responds to the introduction of IR practice to indicate that the company's reporting practices are congruent with regulatory developments. As a result, the company is expected to avoid unfavourable regulatory or stakeholder attention.

In terms of "connectivity of information", the analyses show that the level of integration is growing. The number of companies with unique IR disclosures has significantly increased over time. For instance, a growing number of companies have provided disclosures on "interrelatedness and dependencies between the factors that affect a firm's ability to create value over time" (17.07 per cent in 2011, 23.17 per cent in 2012 and 37.8 per cent in 2013) and "changes in strategy when new risks and opportunities are identified" (24.39, 34.15 and 41.46 per cent, respectively). Similarly, of particular significance to IR are the disclosures on "interdependencies and trade-offs between the capitals". The results show that the number of companies reporting "the capitals" have started slowly with the trend showing a significant increase over time from just 3.66 per cent (three companies) in 2011 to 9.76 per cent in 2012 to 23.17 per cent in 2013. The following quote shows how a company responds to the capitals framework:

Our ability to create value depends on certain forms of capital, how we use them and our impact on them. We apply the capitals model, initially developed by Forum for the Future, in managing and assessing our ability to create value over time. Our report aims to explain how we use and affect the capitals. We recognise that the capitals are interrelated and fundamental to the long-term viability of our business. Intellectual capital is integrated into the human, financial and manufactured capitals as this better reflects the nature of our business as a financial services organisation (Integrated Report, 2013a, 2013b, Company F).

However, while the companies are increasingly acknowledging the multiple capitals framework, the integrated reports are not actually aligned to the capitals framework. In particular, the positive and negative trade-offs between the capitals, or components of a capital, are not systematically reported. As a result, the recognition that "the capitals are interrelated and fundamental to the long-term viability of our business", as stated in the above extract, is generic rather than company-specific aimed to establish symbolic conformity with IR guidelines.

Application of other IR guidelines is also disappointing. Discussion of material issues is particularly low, and when reported, companies tend to provide rather passive and vague disclosures of material issues. For instance, few companies (3.66, 8.54 and 9.76 per cent in the respective years) have reported "interrelationships between material issues". Similarly, a limited number of companies (20.73, 26.83t and 25.61 per cent, respectively) have disclosed "identification, prioritization and approval of material issues". The limited and ambiguous disclosures notwithstanding, there is nonetheless an increasing trend.

Another disappointing area of the integrated reports is the "reliability and completeness" of the integrated reports. The integrated reports, despite the explicit calls to balance positive and negative information in existing IR guidelines, are biased towards positive disclosures, with companies exaggerating positive information whilst ignoring negative outcomes. Finally, the "consistency, comparability and assurances"

category, despite the increasing number of companies providing limited external assurance on non-financial information (45.12, 58.54 and 62.2 per cent in respective years), it is another area which requires significant improvement (IRC, 2015). Taken together, the findings suggest that there is limited but growing application of IR guidelines in South Africa.

6.3 Trend of integrated reporting

The aim of our longitudinal analyses is to examine the trend of IR practice, both in overall and in categories. In line with this aim, we have conducted the parametric “one-way repeated measures ANOVA” to examine the trend of IR practice over time. The results presented in Table VI show the trend in the quality and extent of IR practice for both the overall as well as subcategory scores. The results, based on both corrected and uncorrected values, indicate that the overall scores in the quality and extent of IR practice have both increased significantly over the three-year period at the 1 per cent significance level, $p = 0.000$. The results also reveal a significant increasing trend in the quality and extent of all IR categories.

Given that the one-way repeated measures ANOVA can only reveal a difference somewhere over the three-year period, we have performed further analyses between years based on paired sample t -tests. The results in Table VII show that the significant

Table VI.
One-way repeated
measures ANOVA:
mean scores in IR
over time (2011-2013)

	Quality of IR				Extent of IR			
	2011	2012	2013	p -value*	2011	2012	2013	p -value*
Overall and categories	Mean scores				Mean scores			
Overall IR scores	43.57	47.32	50.16	0.000***	64.52	69.75	72.61	0.000***
Strategic focus	52.44	56.30	58.84	0.000***	77.90	80.18	82.01	0.002***
Connectivity of information	42.38	47.10	51.52	0.000***	50.61	58.08	64.18	0.000***
Stakeholder relationships	59.96	63.96	66.40	0.001***	78.25	83.74	84.15	0.008***
Materiality	42.74	45.76	47.39	0.000***	50.7	55.92	57.32	0.000***
Risk management practices	39.72	43.32	44.37	0.000***	72.13	79.44	83.10	0.000***
Conciseness	48.13	50.81	53.17	0.001***	86.83	88.05	90.24	0.038**
Reliability and completeness	29.37	33.23	38.41	0.000***	43.29	49.85	53.96	0.000***
Consistency, completeness and assurance	31.57	35.37	37.26	0.000***	72.36	77.24	78.46	0.008***

Notes: *The p -values are presented using both corrected (Greenhouse-Geisser and the Huynh-Feldt) and uncorrected, as the case may be; the corrected and uncorrected p -values were largely similar; ***increased at the 1% significance level; **increased at the 5% significance level

Table VII.
Paired samples t -test
for differences in IR
scores between any
two years

Years	Overall-using detailed scoring scheme (quality)		Overall-using dichotomous scoring scheme (extent)	
	t -value	Significance	t -value	Significance
2011 and 2012	−3.745	0.000***	−5.230	0.000***
2011 and 2013	−6.590	0.000***	−8.091	0.000***
2012 and 2013	−2.846	0.000***	−2.861	0.000***

Note: ***Increased at the 1% significance level

increases occurred between any two years, and not just over the three-year period. The significant increases between the years, in addition to the overall increasing trend, suggest that companies are making progress towards IR practice. This finding is consistent with recent studies in South Africa that have observed progress in both application of IR guidelines as well as the level of corporate disclosures following the adoption of IR practice (Ernst & Young, 2014; Setia *et al.*, 2015).

6.4 Discussion: ceremonial versus substantive integrated reporting practice

We come back to our research question: is IR practice actually ceremonial or substantive in nature? We find that the current IR practice is largely ceremonial in nature. We provide four main observations to illustrate the ceremonial nature of the IR practice. First, given the soft regulatory oversight in South Africa, symbolic conformity with IR requirements is enough to maintain organisational legitimacy. Consequently, companies provide symbolic gestures based on selected IR terminologies to showcase compliance with certain aspects of IR guidelines. For instance, the integrated reports are imbued with random IR terms such as “increases, decreases, transformations, outputs and outcomes” of the capitals. However, these terms often appear in a generic, even out of context, manner in the integrated reports. In particular, companies fail to provide contextualised, company-specific disclosures about the interdependencies and trade-offs between the factors that affect organisational value creation. In essence, the adoption of IR practice has not brought major shifts in how companies establish connectivity between various financial and non-financial measures. Second, we find that there is no particular reporting identity following the adoption of IR guidelines. The IR guidelines emphasise the “comparability and consistency” of the integrated reports “on a basis that is consistent over time and in a way that enables comparison with other organisations” (IIRC, 2013a, p. 5). However, the integrated reports are chronically inconsistent over time and across organisations. This is largely because of the limited application of existing IR guidelines and content elements across organisations.

Third, despite the calls for inclusion of all material matters, both positive and negative, in a balanced way (IIRC, 2011; IIRC, 2013a), companies continue to exaggerate positive information whilst underplaying, or dismissing, negative outcomes. In particular, companies ignore negative trade-offs between multiple capitals, or components of a capital. Finally, companies continue to conceptualise organisational “value creation” in the traditional measures of financial performance. While the IR agenda, and the embedded integrated thinking, promise to bring a shift from “financial capital market system” to an “inclusive capital market system” through recognition of multiple capitals (Coulson *et al.*, 2015), that is not the case in practice because companies continue to discuss “sustainability” issues in the context of traditional financial performance measures such as return on equity. However, there are a number of emerging themes that have the potential to transform current IR practice into substantive practice. We discuss these themes in the following section.

6.4.1 Substantive integrated reporting practice. The ceremonial nature of IR practice, notwithstanding, there are a number of emerging features that has the potential to enhance the quality of IR practice. During the analyses, we have observed features that distinctly differentiate the IR practice from conventional reporting norms. Albeit the majority of the “features” we have observed were general and at times vague constructs, there were, nonetheless, promising indications of a new (substantive) reporting

[tradition](#). For instance, in line with IR guidelines' calls for balancing positive and negative information, a number of companies have shown innovative ways, than has previously been the case in conventional annual reports, to make contrasts from "highlights" to "lowlights", "great stuff" to "bad stuff", "achievements" to "disappointments" and "positives" to "negatives". [There seemed an "IR factor" pushing companies to disclose unfavourable information](#), beyond image-building good news disclosures. For instance, the following extract discloses specific challenges a company faced during the year:

The year did have its challenges though, with a regrettable network outage on 30 June that affected some of our customers for a part of the day. We learned a number of good lessons from that event and based on this we made both process changes and targeted investment to increase network resilience and limit the risk of this happening again (Integrated Report, 2012, Company G).

The ["risks and opportunities"](#) aspect of IR guidelines, which encourage companies to go beyond the predictable positive disclosures and include negative and disappointing stories in a balanced way, is gaining momentum. [The following quote shows how a company reports several significant challenges, using negative wording, in its integrated report:](#)

We are under siege on many fronts. We have [lost credibility](#) with some of our customers, especially residential, in terms of service and our [inability](#) to communicate with them.

- [Shrinking](#) revenues and profits. The business faces [many pressures](#), notably increased competition and pricing pressure throughout.
- Our culture [is not](#) where it should be. Currently it neutralizes any initiative because of old hierarchical structures and [lack of accountability](#).
- Our traditional business revenues are [declining](#) and, as a result, we have to get the basics in place and focus on growing where our strengths lie
- Costs. Compared to our peers we are [less efficient](#) than they are. Given the [decline in revenue streams](#) it is vital that we find an effective process to drive down cost (Integrated Report, 2012, Company H).

Although traditionally it is common for South African firms to [disclose fatalities](#) in their annual reports, [there is nonetheless an increasing trend in doing so:](#)

In terms of the lows, while we improved our safety performance we still had three contractor fatalities. This is unacceptable and we're redoubling our efforts to achieve zero fatalities in all our operations (Integrated Report, 2013a, 2013b, Company I).

While the discussions on multiple capitals are largely generic, [a growing number of companies recognise the interrelatedness and trade-offs between the capitals](#), or components of a capital as shown below:

Our report aims to explain how we use and affect the capitals. We recognise that the capitals are interrelated and fundamental to the long-term viability of our business. Intellectual capital is integrated into the human, financial and manufactured capitals as this better reflects the nature of our business as a financial services organisation (Integrated Report, 2013a, 2013b, Company J).

A third emerging feature in the integrated reports is the increasing number of companies reporting external assurances in non-financial information. Companies incorporate innovative features in the integrated reports to highlight that certain non-financial information is assured by external assurance providers. Albeit companies tend to seek “limited” external assurances in non-financial information, a significant number of companies report that the audit committee function assumes responsibility for the integrity of the integrated reports to compensate the limited level of external assurance in non-financial information. Conventionally, the responsibility of the audit committee function was limited to monitoring the quality of financial reporting process. This emerging trend in non-financial information assurances seems to extend the role of audit committee in monitoring the quality of non-financial information. External assurance in non-financial information, and the involvement of audit committee in the process, has the potential to enhance the veracity and reliability of corporate disclosures. Examples of such disclosures in integrated reports include.

External assurance obtained in the current year also included limited assurance on selected sustainability information. Environmental targets are provided for the first time and, therefore, no comparisons against targets for prior years were possible [...]. The combined assurance approach will be enhanced further in future years to confirm the appropriate application of integrated reporting principles and the integrity of data contained in future Reports (Integrated Report, 2011, Company K).

The report is reviewed by the audit committee and the board of directors to satisfy themselves of the materiality, accuracy and balance of disclosures. In addition, the various aspects of the integrated report are independently assured by a number of assurance providers (Integrated Report, 2012, Company L).

Finally, companies reveal difficulties and challenges in the IR process. In particular, firms have challenges in the identification, prioritisation and determination of material matters. In most cases, companies use traditional organisational proxies such as risk management framework to describe organisational material issues, as shown in the following extract:

The diversity of businesses in the [XYZ] Group and the corresponding diversity of stakeholders sometimes makes it difficult to determine which issues pass the test of materiality. For the purposes of this first Integrated Report, management has chosen to use the Company’s risk management framework as a guide to materiality (Integrated Report, 2011, Company N).

The confusion on what constitutes “material” issues results in rhetorical disclosures and generic statements, rather than company-specific material matters, with companies citing general issues such as regulation, economic and political challenges, as well as stiff competition as material issues. In addition, companies provide mere indications that the material matters were considered without describing the process, in particular, whether the company has engaged with relevant stakeholders in identifying material issues. The following extract indicates challenges in the identification of material issues, with some companies seeking external expertise to assist them in the identification process:

During the year under review, management appointed an external service provider to assist the Group with the implementation of integrated reporting. This included the determination of material issues and the way in which the Group would report internally each month. The Chairman of the ARC Committee was nominated by the Board as the Group’s champion for integrated reporting (Integrated Report, 2011, Company P).

In summary, at this developmental stage of the IR journey, we find that there is evidence of both ceremonial and substantive IR practice. The trend analyses show that companies are increasingly aligning the integrated reports to existing IR guidelines. However, the integrated reports are biased towards positive disclosures as companies continue to use the integrated report as a legitimisation tool. In addition, there is limited application of key IR aspects such as connectivity of information, materiality determination process and trade-offs between the multiple capitals, or components of a capital, in the integrated reports.

7. Concluding remarks

The purpose of this study is to examine the state and trend of IR practice in South Africa. In particular, we examine whether the IR practice is ceremonial or substantive in nature, based on the existing IR guidelines. In doing so, we engage with the content of integrated reports to examine the extent and quality of IR practice for the years 2011-2013, following the introduction of an “apply or explain” IR requirement in South Africa. Drawing from 246 integrated reports over the three-year period, the findings show a significant increase in the extent and quality of IR practice over time. We find that companies are increasingly acknowledging the interdependencies and trade-offs between the factors that affect organisational value creation. The increasing trend, notwithstanding, the results reveal that key aspects of IR practice (e.g. issues of materiality and connectivity of information) are poorly incorporated in the integrated reports. In addition, the reliability and completeness of the integrated reports is low as companies continue to exaggerate positive disclosures whilst obscuring, or dismissing, negative information. Moreover, multiple capital disclosures are generic, rather than company-specific, as companies hardly discuss trade-offs between the capitals. In sum, while there is evidence of both symbolic and substantive IR practice in South Africa, our findings generally suggest that the current IR practice is largely ceremonial in nature, aimed to acquire organisational legitimacy (Steyn, 2014; Setia *et al.*, 2015).

This study has a number of implications for several groups. First, for academics, given the “embryonic” state of IR research, this study provides a longitudinal account of the state and development of IR practice. On the one hand, the research findings show that IR practice is taking shape, with companies increasingly, albeit metaphorically, aligning the integrated reports to IR guidelines. This suggests that companies are open to new organisational reporting innovations (Robertson and Samy, 2015). However, the ceremonial nature of IR practice is largely because of lack of proper understanding of “how” IR works. Part of this is due to limited academic and professional research that have attempted to decode existing IR guidelines and provide specific instruments to assist companies into the transition of IR practice (Haller and van Staden, 2014; Adams, 2015a). Academic researchers could engage with companies through interventionist research to help them implement integrated thinking and substantive reporting. There is also a need to develop additional reporting instruments and tools that incorporate and elaborate the central ideas of IR guidelines (Haller and van Staden, 2014).

Second, for international policymakers, the empirical insights of this study, which are drawn from a regulatory IR environment, highlight IR practice, despite challenges, is making progress over time. Emerging countries, in particular, may find the research results from the South African IR experience useful towards introducing IR requirement in their bids to enhancing their competitiveness and reputation in the global financial

markets. Third, the findings inform local regulatory authorities the extent and quality of IR practice over time, and draws attention to specific areas of IR practice that require improvement. In particular, the authorities should provide specific reporting guidelines on issues of materiality, connectivity of information and disclosure of multiple capitals. Finally, for educators, there is a need to incorporate IR in the curriculum. For instance, ACCA has already embedded IR in its qualifications since December 2014, in particular in four papers (i.e. P3, P4, P5 and P7) (ACCA, 2014). At the university level, we argue that the best way to introduce IR is in a “ubiquitous” spread in accounting and management courses.

The findings of this study must be interpreted within the context of several limitations. First, the study is limited to South Africa where IR is mandatory. Future studies should draw evidence from other countries, or provide comparative analyses involving South Africa and elsewhere (voluntary setting) to provide useful insights. Second, the content analyses task is inherently subject to reliability and validity concerns that could potentially undermine the research findings (Milne and Adler, 1999). However, we have taken several measures to reduce the level of subjectivity and enhance the reliability of research findings. An alternative research approach is to undertake an in-depth investigation involving few cases to observe IR in action, in particular to consider “production and transmission of the message” as well as the “construction of the message” (Tregidga *et al.*, 2012). Finally, this study did not specifically examine the tone, language and placement of disclosures in the integrated reports (Williams and Adams, 2013). Future studies should present a more focused assessment through discourse analyses to examine the language of the integrated reports, in particular, how companies integrate and discuss issues of materiality and the multiple capitals in the context of organisational value creation.

Notes

1. Ernst & Young introduced Excellence in Integrated Reporting Awards for IR practice in 2011. The aim of the award is to enhance the quality of integrated reporting practice of South African listed companies and state-owned entities.
2. The five companies that have consistently won the Ernst & Young Excellence in Integrated Reporting Awards are Sasol, Royal Bafokeng Platinum, Standard Bank, Truworths International Ltd. and Gold Fields.
3. For further discussion on the assumptions of one-way repeated measures ANOVA, see <https://statistics.laerd.com/spss-tutorials/one-way-anova-repeated-measures-using-spss-statistics.php>
4. If the Mauchly's test is insignificant, then the sphericity assumption has been met. However, if it is significant, Greenhouse-Geisser and the Huynh-Feldt should be considered. To choose between them, Huynh-Feldt is used when the epsilon value is greater than 0.75. If the epsilon value is less than 0.75, then Greenhouse-Geisser is used.

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Table AI.
Integrated reporting
checklist

Appendix

No.	IR checklist	Year 2011		Year 2012		Year 2012	
		No. of companies	(%)	No. of companies	(%)	No. of companies	(%)
<i>Strategic focus and future orientation</i>							
1	Connecting strategy to the wider value creation	78	95.12	81	98.78	82	100
2	Lessons from past experiences in determining future strategic directions	24	29.27	28	34.15	33	40.24
3	Basis of preparation of the IAR	71	86.59	69	84.15	68	82.93
4	Commitment to continuous integrated thinking and reporting	59	71.95	56	68.29	57	69.51
5	Major Challenges	80	97.56	81	98.78	81	98.78
6	Disappointments	59	71.95	64	78.05	63	76.83
7	Achievements during the year	58	70.73	66	80.49	72	87.8
8	Improvements made during the year	82	100	81	98.78	82	100
<i>Connectivity of information</i>							
9	A holistic picture of the combination, interrelatedness and dependencies between the factors that affect a firm's ability to create value over time	14	17.07	19	23.17	31	37.8
10	Connecting sustainability information to the company's financial statements	74	90.24	75	91.46	74	90.24
11	Changes in strategy when new risks and opportunities are identified or performance is not as expected	20	24.39	28	34.15	34	41.46
12	Aligning the business model to changes in the business environment	31	37.8	52	63.41	61	74.39
13	An analysis of the past, present and future	82	100	82	100	82	100
14	The interdependencies and trade-offs between the capitals: financial, manufactured, intellectual, human, social and relationship and natural	3	3.66	8	9.76	19	23.17
15	Information on expected revenue growth or market share or investment in human resources	80	97.56	80	97.56	80	97.56
16	Connecting information in the integrated report to information in the 'organisation's other communication channels	28	34.15	37	45.12	40	48.78
<i>Stakeholder relationships</i>							
17	Providing insights into the nature and quality of the 'organisation's relationships with its key stakeholders	78	95.12	79	96.34	80	97.56
18	Info the organisation receives <i>from</i> stakeholders including economic, environmental and social issues	49	59.76	57	69.51	56	68.29
19	Frequency of engagement with stakeholders (e.g., day-to-day liaison with customers and suppliers)	53	64.63	58	70.73	57	69.51
20	Communication channels with stakeholders	62	75.61	68	82.93	67	81.71
21	Disclosure of how key stakeholders' legitimate needs and interests are understood, taken into account and responded	75	91.46	78	95.12	79	96.34

(continued)

No.	IR checklist	Year 2011		Year 2012		Year 2012	
		No. of companies	(%)	No. of companies	(%)	No. of companies	(%)
22	Taking stewardship and responsibility for the effects of 'organisation's activities and operations	68	82.93	72	87.8	75	91.46
<i>Materiality</i>							
23	Disclosure of information about matters that substantively affect the 'organisation's ability to create value	74	90.24	78	95.12	78	95.12
24	The materiality determination process	27	32.93	41	50	48	58.54
25	Identification, prioritisation and approval of material issues	17	20.73	22	26.83	21	25.61
26	Interrelationships between material issues	3	3.66	7	8.54	8	9.76
27	Process of determining information to disclose (internal and external parties)	13	15.85	16	19.51	17	20.73
28	Reporting boundary (are employees, customers, suppliers, business partners, communities and others)	77	93.9	77	93.9	77	93.9
29	Financial reporting entity (includes subsidiaries', joint ventures' and associates' transactions and related events)	80	97.56	80	97.56	80	97.56
<i>Risk management practices</i>							
30	Discussion of risk management practices in place	81	98.78	82	100	82	100
31	The presence of a risk management strategy/policy	46	56.1	53	64.63	55	67.07
32	The role of board in risk management practices and policy development	54	65.85	63	76.83	69	84.15
33	The role of the internal audit function in RM process-does it offer assurances?	61	74.39	69	84.15	68	82.93
34	The views of the board on the RM process-its satisfaction	35	42.68	46	56.1	57	69.51
35	Risk mitigation	69	84.15	74	90.24	75	91.46
36	Improvements in risk and governance framework	68	82.93	69	84.15	71	86.59
<i>Conciseness</i>							
37	Value-added statement	56	68.29	55	67.07	57	69.51
38	Includes sufficient context to understand the 'organisation's strategy, governance, performance and prospects without being burdened with less relevant information	70	85.37	74	90.24	74	90.24
39	Follows a logical structure and includes internal cross-references as appropriate to limit repetition	67	81.71	69	84.15	75	91.46
40	Favours plain language over the use of jargon or highly technical terminology	82	100	82	100	82	100
41	Avoids highly generic disclosures, often referred to as "boilerplate", that are not specific to the organisation	81	98.78	81	98.78	82	100

(continued)

Table AI.

Table AI.

No.	IR checklist	Year 2011		Year 2012		Year 2012	
		No. of companies	(%)	No. of companies	(%)	No. of companies	(%)
<i>Reliability and completeness</i>							
42	An integrated reporting steering committee	7	8.537	8	9.756	7	8.537
43	Discussion of who approves the integrated report	60	73.17	67	81.71	71	86.59
44	Declaring inclusion of all material matters, both positive and negative, in a balanced way and without material error	48	58.54	50	60.98	61	74.39
45	Disclosing information about robust internal control and reporting systems, stakeholder engagement, internal audit or similar functions and independent, external assurance	64	78.05	68	82.93	69	84.15
46	Statement on the assessment of the independence of the independent non-executive directors	26	31.71	35	42.68	40	48.78
47	Maintaining an audit trail when preparing an integrated report to ensure information is sufficiently reliable to be included in the IR	39	47.56	50	60.98	53	64.63
48	Relevant disclosures when material information is omitted (e.g. because of the unavailability of reliable data)	1	1.22	5	6.098	3	3.659
49	Balanced; has no bias in the selection or presentation of information in the IAR	39	47.56	44	53.66	50	60.98
<i>Consistency, comparability and assurances</i>							
50	Assurances in non-financial information by external parties	37	45.12	48	58.54	51	62.2
51	The info in the report is presented on a consistent basis over time (otherwise explain the reasons for significant changes)	77	93.9	79	96.34	80	97.56
52	Whether or not the audit committee oversees and provides any assurances to the integrated report	64	78.05	63	76.83	62	75.61

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